

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching 2× height	42%	8%	6%

Exit signal. Consider covering your short if price retraces to the price level of point A in the figure, the start of the pattern. Always close out your short position if price rises to C, the highest high in the pattern. If that happens, the stock is saying you have made a mistake. Get out.

Search for nearby support and resistance. This step is important. If you know where support and resistance are, you can determine how far price will fall or rise, respectively. Trade or do not trade accordingly. Also remember that price *will* push through support and resistance eventually, if given the chance.

Wait for breakout. Before you short a stock, do your homework and make sure it is worth shorting. Do not short a descending and inverted scallop until it confirms, meaning that price must close below the pattern's low.

Stop location. Consult [Table 60.7](#) for guidance on where to place a stop-loss order.

Busted trade. Perhaps the best way to trade a scallop is to wait for a downward breakout to bust in a bull market. Single busts happen 85% of the time according to [Table 60.9](#) and lead to average gains of 52%.

Sample Trade

[Figure 60.4](#) shows this chapter's sample trade. Here is how Rich used the pattern.

Rich is an experienced trader who dares to short a stock when the fundamentals warrant. In the bear market of 2001, when tech stocks were being slaughtered wholesale, he started fishing for stocks to short and found a candidate in Gateway.

He did his fundamental research by checking out the company and others in the same industry. When he was comfortable with his choice, he waited for